

Project Healthy! - Cracking the Healthy Indians Snacks Maze & Craze

Note: The pitchdeck was prepared for a case competition to showcase the roadmap for a legacy Indian FMCG player to launch a premium product in the healthy snacks category with the goal of becoming profitable within the next 18 months. The note below is to provide the background and context of Indian Snacks industry and to highlight the important facts & constraints applicable in the case brief for the FMCG company to launch products in this space.

The Indian Snacks Industry:

The Indian healthy snacks market reached USD 3.13 billion in 2025 and is expected to cross USD 4.77 billion by 2034 with a CAGR of 4.8% (Source: IMARC Group). This is on account of growing healthy consciousness among urban consumers. Based on a study conducted by Farmley (leading player in this market), 72% of the surveyed people look for functional benefits such as energy, protein, etc. in the snacks they choose to eat. 94% wanted healthy snacks without compromising on taste and flavour.

Consumers are increasingly looking for clean labels and certifications. Hence, there has been a steady increase in the “Better-for-you” snacks and value added offerings. Complex regulatory landscape continues to remain a challenge for the players with multiple FSSAI regulations and updates between 2021-25, the most notable one being bold font requirement for sugar and salt ingredients and a steady push being made for Front of Pack Labelling (FoPL) for the ingredients. On a brighter side, this helps companies to put a premium positioning tag on their healthy snacks offerings by differentiating themselves through product quality certifications, nutritional labelling and packaging activities.

Currently, supermarkets are leading distribution but Quick Commerce is the fastest growing distribution segment in this space. The dominant product in this space includes nuts, seeds & trail mixes (namkeens) capturing a market share of almost 35%, thanks to millet based food products growing massively in the Indian market.

The 2 major constraints in the market are premium prices creating an affordability barrier for consumers + short shelf life on account of using natural preservatives and ingredients. The premium price point of INR 150+ is a niche but a high potential opportunity for the players - it currently represents 8-10% of the overall price ranges but is growing at 2x the category average. The latter is being solved using natural preservation technology such as freeze drying and dehydration methods.

Both large scale incumbents like ITC, Britannia, Pepsico, etc. as well as fast growing D2C players (Yoga Bar, The Whole Truth, etc.) compete in the market with an omnichannel distribution strategy with the former having a stronghold presence in traditional trade (kiranans) and modern trade stores and the latter heavily focussed on online (D2C subscriptions) and QComm channels. QComm revenue doubled for leading FMCG players but it still constitutes a small portion (<4-10%) of their sales while for new brands, it contributes often >50% of gross market value (GMV) (Source: Perplexity).

The future of healthy snacks in India is very clear: achieve Affordability without diluting Quality. Consumers have started reading labels and are becoming more conscious of their choices. Therefore, there is a growing importance towards production innovation. R&D expenditure is highly important and could become a differentiating factor to excel in this segment.

Facts of the case:

i) Background:

The legacy FMCG player plans to launch premium products in the healthy snacks category to health conscious urban consumers with a price point of INR 150-250 per unit. If the brand achieves early profitability and brand share, its volume growth can grow as high as 30-50% QoQ in the first 12 months; however if there is heavy competition leading to promotional wars, the volume growth can stagnate to 10-15% QoQ with higher customer acquisition costs (CAC).

ii) Go-to-market Channels:

The channels available for distribution along with their distinct competencies are highlighted below:

Modern Trade (MT):

- High visibility and premium shelf placements
- Reach the health conscious customers directly
- Enable sampling and instore activations easily
- Customer buying pattern data available
- Higher trade margins (15-25%) but stronger brand building

Quick Commerce (QComm):

- Fastest growing channel in urban India (40%+ YoY growth)
- Impulse-drive premium customer base
- Real time data tracking available
- Higher commission rates (25-35%) but rapid scale potential
- Ideal for trial generation and repeat purchases

Traditional Trade (TT):

- Largest reach across India (20M+ outlets)
- Lower credit days in comparison to MT
- Lower trade spends (8-12%)
- Challenges in premium positioning

iii) Manufacturing options:

Following are the manufacturing strategy options available along with their specific characteristics mentioned:

Own Factory:

- Full quality and IP control
- Trained workforce aligned to company standards
- Limited initial capacity (requires phased expansion)
- Capex intensive (INR 15 Cr initial investment)
- Longer time to market (12-18 months setup)

Contract Manufacturing:

- Lower capex requirement (INR 10 Cr as add-on on existing line, invested by Co manufacturer and recovered from company as part of conversion charges)
- Shorter lead times (6-12 months to first batch)
- Minimum volume commitments (MOQ constraints)
- IP risk and audit overheads

Import:

- No capex required
- Higher lead times (8-12 weeks per shipment)
- Forex and import duty exposure
- Geopolitical and logistics risk
- Limited control over formulation and packaging changes

iv) Key assumptions:

There are certain assumptions that needs to be considered while making the pitchdeck:

- 1) A one-time R&D expenditure of INR 1.5 cr needs to be incurred in the launch year for product formulation, testing & regulatory approvals (Hard rule)
- 2) Maximum achievable sales volume in the launch year (annualised) is estimated at 7.5 lakh units.
- 3) For capacity expansion under the Own Factory model, an additional investment of INR 10 Crore is required for an incremental capacity of 10 Lakh units.
- 4) If the co-manufacturing arrangement is exited, an exit liability equivalent to WDV of co-manufacturer's investment (depreciated at 10% p.a.) must be paid.

Requirement for the pitchdeck deliverable:

The 5 slide pitchdeck should provide a route for the company to achieve the following:

- 1) Become profitable within 18 months of launch and also establish brand presence (increase market share) in this segment.
- 2) It should also optimise cost-to-serve for the launched products.
- 3) It should select and justify the selection for the go-to-market channel and manufacturing model among the options given above based on the following 5 critical factors:
 - *Brand Positioning* (Whether it supports premium positioning?)
 - *Speed to Market* (Can it launch within target timeline?)
 - *Risk Profile* (What are the various risks and how are they mitigated?)
 - *Total Cost to Serve* (What is total cost & MRP for these products and does it justify profitability?)
 - *Investment, ROI & Payback* (Do we achieve profitability? How much market share can it capture?)

Project Healthy! - Scaling the Premium Healthy Snack Portfolio

*An 18 Month Operational and GTM Roadmap for
leading FMCG company to achieve INR 3.86 Cr
PBT via Asset-Light Manufacturing*

Armaan Shariff
August 2026



Generating INR 3.86 Cr in PBT by Month 18, our strategy secures the profitability mandate through an asset-light manufacturing footprint and targeted Tier-1 distribution with premium positioning.



GTM & Product

- Aggressive GTM strategy: MT (50%), Q-Comm (30%), TT (20%)
- Increase Q-Comm presence by 40% in next 2 years



Operations

- Adopting the Contract manufacturing model
- Zero Capex advantage (Avoided INR 15 Cr Capex entirely).

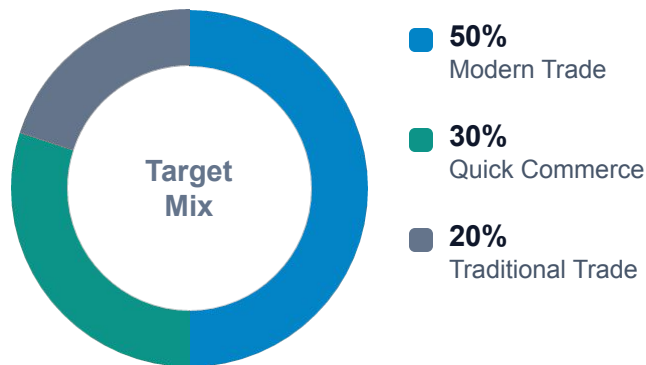


Financial Impact

- 45.1% Gross Margin
- 12 Lakh unit scale by Month 18

We capture this demand through a targeted 50% Modern Trade and 30% Quick Commerce mix, utilizing an embedded IP model to protect proprietary brand equity.

GTM Channel Split - *Achieving Premium Positioning through aggressive pitch for MT & Q-Com sales*



Embedded IP Model

Why this model protects our brand equity:

- **Legal Safeguards:** Restricts channel partners from recreating proprietary formulations
- **Ingredient Exclusivity:** Ring-fences our unique flavor profiles thereby avoiding IP risks.
- **Asset-Light Retention:** Maintains core design and recipe IP entirely in-house while scaling co-manufacturing operations

Fulfilling this volume via Co-manufacturing avoids INR 15 Cr in upfront Capex and secures 20 Lakh units of flexible capacity without triggering exit penalties.

 Co-Manufacturing (The chosen approach)

- Upfront Capex: **INR 0**
- Capacity: **20 Lakh flexible units**
- Speed to Market: **6-12 months (Quick Launch)**

 Own Factory

- Upfront Capex: **INR 15 Cr**
- Capacity: **Fixed asset constraints**
- Exit Liability: **12-18 months setup (Slow, Longer time to attain profitability)**

 **Key Takeaway:** Avoided exit liability of **INR 8.1 Cr** and preserved liquid runway by choosing an asset-light co-manufacturing strategy.

Securing positive operational EBITDA in Year 1, the model expands Gross Margins to 45.1% to fully self-fund aggressive, front-loaded marketing investments.

Executive P&L			
P&L Line Item	Year 1 Launch (7.5L Units)	Year 1.5 Run-Rate (12L Units)	Remarks
Volume (Lakh Units)	7.50	12.00	Risk-adjusted 25-30% QoQ Growth
Gross Sales Value (MRP INR Cr)	15.00	24.00	1.6x Scale at Month 18
Trade Discounts & Commissions (INR Cr)	(2.40)	(3.96)	
Consumer Promotions (INR Cr)	(0.83)	(1.32)	
Net Revenue (INR Cr)	11.77	18.72	
Total Cost of Goods Sold (INR Cr)	(6.62)	(10.26)	
Gross Profit (INR Cr)	5.15	8.46	Gross Margin Expands to 45.1%
Annual Marketing Investments (INR Cr)	(3.50)	(4.00)	Refer Note below
Fixed Overheads & Operations (INR Cr)	(0.50)	(0.60)	
EBITDA (Pre-R&D) (INR Cr)	1.15	3.86	Operational EBITDA Positive
One-Time R&D Expense (INR Cr)	(1.50)	0.00	Fully Expensed in Year 1
Profit Before Tax (INR Cr)	(0.35)	3.86	Strong Profitability Achieved

Note: OPEX constraints were not defined. So Annual Marketing spends for Year 1 was benchmarked to 30% of Net Revenue (Industry standard + Aggressive Q-Com acquisition) and it has subsequently tapered down to 21% in Year 1.5. FOH is lean on account of asset-light nature of contract manufacturing undertaken.



Gross Margin Expansion

Reaches 45.1% in Year 1 to establish a robust foundation for reinvestment

Aggressive digital penetration and targeted Modern Trade activations establish top-of-mind brand presence, securing the 12L unit run-rate and a 50% repeat purchase rate.



Digital Acquisition (Q-Comm)

- **Targeted Neighbourhood ADs:** Customised product video ADs across Tier-1 PIN codes
- **Local partnerships & collabs:** Collab with local health influencers (gym coach, yoga instructor, etc.) for their organic content instead of bollywood celebs endorsement
- **Digital sampling & smart bundling:** Partner with delivery apps (Zepto, Blinkit, etc.) to give **free mini samples + offer discounted combo offer deals** with other F&B



Physical Merchandising (MT/TT)

- **Premium Placement:** Heavy investment in **eye-level shelf space** in top-tier Modern Trade outlets & Mom & Pop stores
- **Experiential Sampling:** **Weekend tasting** activations + **Pop up stores** & events for immediate trial and overcoming premium price barrier
- **Trade Promos:** Strategic **margin bump-ups** for distributors who achieve specific volume threshold.

The 18-Month Conversion Funnel

01 / Awareness

Brand Launch & Visibility



02 / Trial

Month 1 - 6 (Sampling)



03 / Penetration

Month 7 - 12 (Distribution)



04 / Loyalty

Month 13 - 18 (Repeats)